

26STCV10703 26STCV10703

County: los-angeles

Division: Civil Law and Motion

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Case Number: 26STCV10703 Hearing Date: June 23, 2026 Dept: 730

Superior Court of

California

County of Los Angeles

Department

730

SHAWN

KAYE,

Plaintiff,

vs.

RUDY NECOECHEA, et al.,

Defendant

Case No.:

26STCV10703

Hearing

Date:

June 23, 2026

[TENTATIVE]

ORDER GRANTING MOTION TO STAY

PROCEEDINGS

I. BACKGROUND

Plaintiff Shawn Kaye ("Kaye")

borrowed money from Rudy Necoechea ("Necoechea") on several occasions. In

connection with the loans, Plaintiff signed promissory notes secured by a Deed

of Trust for a piece of commercial property ("subject property"). Plaintiff

defaulted on the promissory notes. Defendant then initiated and conducted a

nonjudicial foreclosure proceeding on the subject property that was allegedly

unlawful, procedurally defective, and in violation of Civil Code section 2924

et seq. and section 2924, subdivision (f). Plaintiff sued Defendant, alleging seven

causes of action, including wrongful foreclosure.

On May 27, 2026, Defendant

Rudy Necoechea filed the motion for a stay of the action pursuant to Code of

Civil Procedure section 1030, subdivision (e).¹

To date, Plaintiff has not filed an opposition to the

motion.

II. STATEMENT OF FACTS

Plaintiff

Kaye is a resident of Moline, Illinois. (Mot., Eyerly Decl. May 27, 2026, ¶¶

13-14, Ex. A.) Plaintiff purchased the subject property, commonly known as 5647

Cahuenga Blvd., North Hollywood, California 91601, in September 2006 as

co-trustee of the Kaye Trust. (Compl., April 3, 2026, ¶ 10.) On or about

February 13, 2013, a first position Deed of Trust encumbering the subject

property was executed ("Senior Deed of Trust"). (Compl., April 3, 2026, ¶ 12.) On

or about December 21, 2021, Plaintiff executed a Promissory Note to Defendant

Necoechea, which Plaintiff then secured through a Deed of Trust ("Third Deed of

Trust"). (Compl., April 3, 2026, ¶¶ 13-14.) On or about August 17, 2023,

Plaintiff executed a second Promissory Note to Defendant, which Plaintiff then

secured by another Deed of Trust ("Second Deed of Trust"). (Compl., April 3,

2026, ¶ 15.) There was an attorney fee provision in both the promissory note

and in the deed of trust. (Mot., Necoechea Decl. May 27, 2026, ¶ 9, Ex. C.) Plaintiff

was then informed that the Senior Deed of Trust was in default. (Compl., April

3, 2026, ¶ 16.) A Notice of Default and a Notice of Trustee's Sale relating to

the Senior Deed of Trust were recorded. (Compl., April 3, 2026, ¶ 16.) The

Senior Deed of Trust and Notice of Trustee's Sale were thereafter subject to

numerous workout and forbearance agreements. (Compl., April 3, 2026, ¶ 17.)

Plaintiff and Defendant agreed that the indebtedness secured by the Deeds of Trust would be paid in full on or before December 6, 2024. (Compl., April 3, 2026, ¶ 21.) Prior to the December 6, 2024 due date, Plaintiff informed Defendant via telephone conversations, text messages, and electronic mail, that Plaintiff intended to sell a domain name to obtain the necessary funds to pay Defendant's promissory notes in full. (Compl., April 3, 2026, ¶ 22.) On or around December 23, 2024, Plaintiff entered into escrow for the sale of said domain name, and Defendant was informed via telephone conversations, text messages, and electronic mail, that the process was underway and that the funds were being processed. (Compl., April 3, 2026, ¶ 23.)

On November 18, 2025, after Plaintiff had defaulted on the promissory notes, Defendant attended a Trustee Sale, at which he was the successful bidder for the subject property. (Mot., Necoechea Decl. May 27, 2026, ¶ 8-10.) The sale took place at a location listed as "behind a fountain at Civic Center Plaza in Pomona, California." (Compl., April 3, 2026, ¶¶ 15-16.) A Trustee's Deed Upon Sale in Defendant's name was thereafter recorded.

(Mot., Necoechea Decl. May 27, 2026, ¶ 11.) Plaintiff refused to give up possession, and as a result Defendant filed an unlawful detainer case pursuant to section 1161, subdivision (a), on January 12, 2026. (Mot., Necoechea Decl. May 27, 2026, ¶ 12.) Plaintiff then filed this wrongful foreclosure action the

night before trial was set to begin in the unlawful detainer case in May 2026. (Mot., Eyerly Decl. May 27, 2026, ¶ 7.) The unlawful detainer case went to trial, and a verdict was issued in Defendant's favor. (Mot., Eyerly Decl. May 27, 2026, ¶ 11.)

III. LEGAL

STANDARD

If

a plaintiff in an action resides out of the state, and there is a reasonable possibility that the defendant will obtain judgment in the action, the defendant may at any time move for an order requiring the plaintiff to file an undertaking to secure an award of costs and attorney's fees under section 1030, subsection (b).[1]

Under section 1030, subdivision (e), if the defendant's motion for an order requiring an undertaking is filed no later than 30 days after service of summons on the defendant, further proceedings may be stayed until 10 days after the motion for the undertaking is denied or, if granted, until 10 days after the undertaking has been filed.

For

purposes of section 1030(b), the first prong requires that the defendant show the plaintiff resides "out of state," which refers to the plaintiff's actual

residence rather than his domicile. (Myers v. Carter (1960) 178

Cal.App.2d 622, 626.) The second prong requires that the defendant show there

is a reasonable possibility that the moving defendant will obtain judgment on

the plaintiff's claims. Defendant is not obligated to show that there is no

possibility that the plaintiff can win at trial, but only that it is reasonably

possible that defendant will win. (Baltayan v. Estate of Getemyan (2001)

90 Cal.App.4th 1427, 1432.) The court is simply to determine whether any

substantial evidence supports the determination that the defendant will obtain

judgment. (Shannon v. Sims Service Center, Inc. (1985) 164 Cal.App.3d

911, 210.)

IV. DISCUSSION

Defendant

requests the Court stay the action pursuant to section 1030, subdivision (e)

and for an order requiring Plaintiff to post an undertaking in the amount of

\$200,000 forthwith to cover the costs and fees incurred by Defendants as a

result of this action.

If

a plaintiff in an action resides out of the state, and there is a reasonable

possibility that the defendant will obtain judgment in the action, the

defendant may at any time move for an order requiring the plaintiff to file an

undertaking to secure an award of costs and attorney's fees under section 1030, subdivision (b).

As

the moving party, Defendant argues that he has satisfied both prongs of section 1030. With regards to the first requirement, Plaintiff has been established to be an out-of-state resident, as per the Prejudgment Claim of Possession that Plaintiff filed, which confirms that he resides in Moline, Illinois. (Mot., Eyerly Decl. May 27, 2026, ¶¶ 13-14, Ex. A.) With regards to the second requirement, Defendant asserts that the entire basis of Plaintiff's instant action was already adjudicated in the unlawful detainer case. (Mot., May 27, 2026, p. 8, ¶¶ 16-19.) In this case, Plaintiff has alleged that the trustee sale that occurred for the subject property was in violation of Civil Code section 2924 et seq. and section 2924, subdivision (f). (Compl., April 3, 2026, p. 2, ¶¶ 1-4.) Plaintiff claims that the trustee sale could not have occurred at the time and place set forth in the Notice of Trustee Sale, namely behind a fountain at Civic Center Plaza in Pomona, California, because "at the time of the purported sale, the noticed location was completely enclosed by fencing and restricted due to active construction, rendering the location inaccessible to members of the public." (Compl., April 3, 2026, ¶ 39.) Defendant argues that these same claims were rejected in the unlawful detainer case. (Mot., May 27,

2026, p. 8, ¶¶ 11-14.) The court ruled on all the evidence presented and

“expressly found that the trustee sale was properly conducted... [and] that the

Trustee’s Deed Upon Sale properly perfected title in Defendant Necoechea’s

name.” (Mot., May 27, 2026, p. 8, ¶¶ 11-15.)

Defendant

asserts that Plaintiff has prolonged the process by making false claims and engaging

in repeated delay tactics, thereby forcing Defendant to spend over \$120,000 in

fees and costs in connection with the unlawful detainer case that dealt with

the same issues present in this case. (Mot., Necoechea Decl. May 27, 2026, ¶

13.) As such, Defendant requests the Court to order Plaintiff to post an

undertaking in the amount of \$200,000, in anticipation of the costs that

Defendant will incur if this case is permitted to proceed. (Mot., Necoechea

Decl. May 27, 2026, ¶ 16.)

To

date, Plaintiff has not filed an opposition to the motion.

Defendant

has satisfied both prongs of section 1030. First, the evidence shows that Plaintiff

is a resident of Illinois. Plaintiff’s non-California residence is further

confirmed through his repeated use of his out-of-state residence as an excuse

as to why he could not appear in-person for the unlawful detainer case.

Second,

Defendant has provided evidence of a reasonable possibility that he will obtain judgment. Section 1030 does not require Defendant to show that there is no possibility that Plaintiff can win. (Baltayan, 90 Cal.App.4th at 1432.) Defendant is only required to show that there is a reasonable possibility that Defendant could be successful. Id. Courts have found that when a decision in favor of the moving party has already been given, and that decision was predicated on the same arguments and documentary evidence presented in support of the motion requesting an order for undertaking, that is sufficient to support a reasonable possibility that the moving party will win at trial. (Baltayan, 90 Cal.App.4th at 1432.) The unlawful detainer case that Defendant filed pursuant to section 1161, subdivision (a), required Defendant to prove that (1) the November 18, 2025 Trustee Sale was held in accordance with section 2924, that (2) Defendant properly perfected his title following the sale by recording the appropriate documentation, and that (3) Plaintiff refused to move from the property after his property was sold and he was served with a three day notice. (Mot., May 27, 2026, p. 5, ¶¶ 10-15.) Defendant was able to successfully establish his claim. (Mot., May 27, 2026, p. 5, ¶¶ 16-18.) Plaintiff then presented the same arguments and evidence in the current action as he did in the unlawful detainer case, namely that the Trustee Sale was

not conducted in a public place reasonably accessible to bidders. (Mot., May 27, 2026, p. 8, ¶¶ 5-10.) However, given that it was already determined in the unlawful detainer case that the Trustee Sale was properly conducted in accordance with Civil Code section 2924, a decision in favor of Defendant has already been rendered. Taken in conjunction with the evidence suggesting that the Trustee Sale was reasonably easy for the public to find, specifically the fact that there was a sign directing people to the sale, and that there was a crowd at the noted location, there is a reasonable possibility that Defendant will win at trial on the current action. (Mot., Necoechea Decl. May 27, 2026, ¶ 8.)

Here,

Defendant has filed this motion within 30 days of Defendant being served. (Mot., Necoechea Decl. May 27, 2026, ¶ 17.) Pursuant to section 1030, subdivision (e), Defendant is entitled to request a stay of the proceeding pending a determination on the motion and/or the filing of an undertaking.

V. CONCLUSION

Defendant Necoechea's motion to stay proceedings is therefore GRANTED. Plaintiff is ordered to post an undertaking in the amount of \$200,000 to cover the costs and fees incurred by Defendant as a result of this action. Further proceedings are stayed until 10

days after the undertaking has been filed and defendant has been served with a copy of the undertaking.

Defendant is ordered to give notice.

DATED:

June 23, 2026

Hon. Alexander C.D. Giza

Judge of the Superior Court

PLEASE TAKE NOTICE:

- Parties are encouraged to meet and confer

after reading this tentative ruling to see if they can reach an agreement.

- If a party intends to submit on this

tentative ruling, the party must send an email to the court at with the Subject line "SUBMIT" followed by the case number. The body of the email must include the hearing date and time, counsel's contact information, and the identity of the party submitting.

- Unless all parties submit by email to this

tentative ruling, the parties should arrange to appear remotely (encouraged) or in person for oral argument. You should assume that others may appear at the hearing to argue.

- If the parties neither submit nor appear at

hearing, the Court may take the motion off calendar or adopt the tentative ruling as the order of the Court. After the Court has issued a tentative ruling, the Court may prohibit the withdrawal of the subject motion without leave.